the situations regarding our economic recovery program and my attempts to get the Russians to the arms control table:

In the economy, the tax cuts had begun to take hold, but there was a lag time before their full impact was felt: The effects were on their way, but weren't there yet.

As a result the economy was still in trouble, and I was under constant pressure—not only from Democrats but from many Republicans and many of my own people in the administration—to throw in the towel and raise taxes.

On the foreign affairs front, we had also adopted new policies—policies of realism and peace through strength—and from the laboratories and factories of the land we were starting to see the first fruits of our military modernization program, a new generation of strategic weapons whose development, I'm sure, was eagerly monitored in Moscow.

The balance in the arms race had already changed and I was certain it was going to get the Russians' attention. But, as with the economy, there was a lag time before the full impact of the new policy was apparent. And there were people who said it wasn't working; there was pressure throughout that year to abandon the policy, forget the MX and peace through strength, and try something new with the Russians—which to many of my critics simply meant appeasement.

As with my economic recovery program, I felt sure the new national security policies—if they were given time—would work. My instructions to our national security team were the same as I'd given to those working for an economic turnaround: Hang tough and stay the course.

The collapse of the Geneva talks understandably worried many in the world who were anxious for the superpowers to begin the process of nuclear disarmament.

As a result, the new year brought calls from people in Europe and the United States to submit to the Soviet